BULISANI TSHUMA

Versus

ETHEL MPOFU [In her capacity as Executrix Dative of the Estate Late Ian Mpofu]

AND

MASTER OF THE HIGH COURT, N.O

HIGH COURT OF ZIMBABWE
M DUBE J
BULAWAYO 10 -11 MARCH 2025 AND 30 SEPTEMBER 2025

Civil Trial

Adv Phulu with N Mpofu, for the plaintiff
B Madina, for the 1st defendant
No appearance for the 2nd defendant

DUBE J: The plaintiff issued summons against the 1st defendant seeking an order for specific performance against the 1st defendant in her capacity as Executrix dative of the Estate Late Ian Mpofu. He seeks to compel the 1st defendant to accept the balance of the purchase price and thereafter effect transfer of an immovable property known as Stand No. 9939 Bulawayo Township Lands, also known as No. 8 Abbot Avenue, Paddonhurst, Bulawayo. The 1st defendant contests this claim on the basis that she lacked the legal capacity to represent the late Ian Mpofu in signing the alleged Agreement of Sale alternatively that she was misled into believing that the deceased had signed a special power of attorney clothing her with such authority.

This case presents two distinct narratives regarding the purported sale of the property known as Stand number 9939 Bulawayo Township Lands, also known as Number 8 Abbot Avenue, Paddornhurst, Bulawayo. The following issues were referred for trial at the Pre- trial conference hearing:

ISSUES FOR DETERMINATION

1. Whether the late Ian Mpofu entered into an agreement of sale with the plaintiff?

2. Whether the 1st defendant had no legal capacity to represent the seller when the oral agreement between the parties was reduced to writing?

Alternatively;

3. Whether the 1st defendant is estopped from relying on any form of incapacity to represent the seller when the oral agreement was reduced to writing?
4. If the agreement is implied, whether the plaintiff is entitled to hold over damages claimed?
5. Whether the 1st defendant is obliged to pass transfer of Stand Number 9939 Bulawayo Township Lands also known as House Number 8 Abbot Avenue, Paddonhurst Bulawayo?
6. Whether the 1st defendant had knowledge of the oral agreement between the late lan Mpofu and the plaintiff?
7. Whether there is any contractual nexus between the 1st defendant and the plaintiff in all circumstances?

The plaintiff's narrative

The plaintiff gave evidence that the origin of the agreement occurred on the 23rd of April 2020 when he received a WhatsApp message from the late Ian Mpofu. The communication initiated a serious of conversations wherein the deceased disclosed that he had a severe medical condition and expressed a desperate need to sell his property in order to fund the medical bills. These discussions continued until the 23rd of May 2020 culminating in an oral agreement to the sale the property for a sum of USD$ 50 000.00. Following the oral agreement, the plaintiff states that he immediately made payments towards the purchase price, including ZAR 186.000 and ZAR 263, 199.60 directly into an account specified by Ian Mpofu. The plaintiff illustrated how these amounts were paid in small amounts. These payments are undisputed by the 1st defendant.

The plaintiff further narrated that Ian Mpofu arranged for his mother, the 1st defendant to deliver the title deeds at his legal practitioners and sign the written agreement of sale as his agent. After the agreement was signed, the plaintiff continued to communicate with Ian Mpofu and his brother, Hastings Mpofu, regarding payments and Ian's treatment. That tragically, Ian Mpofu passed away before the final payment was due. Subsequent to Ian's death, the plaintiff tendered the outstanding balance which the 1st defendant allegedly refused to accept pursuant to the agreement and transfer the property into plaintiff's name.

1st defendant's narrative

The 1st defendant who is the biological mother of the late Ian Mpofu and the Executrix Dative of his estate, presented a significantly different account. She states that she was never informed by her son about any sale of his house, nor did he ever grant her any instructions or legal standing to sign any sale agreement on his behalf. Her understanding was that the plaintiff had merely loaned funds to Ian Mpofu to cover his medical expenses, and her involvement in dropping off title deeds was related to this loan and not a property sale.

The 1st defendant described the circumstances of her signing the document as surprising. She stated that the plaintiff called her to his lawyer's offices to sign papers, which she believed pertained to the handover of title deeds in connection with the loan. Upon arrival, she was unexpectedly presented with an agreement of sale. She further testified that she was explicitly assured by plaintiff's lawyers that a special power of attorney, signed by Ian Mpofu and granting her authority to sign on his behalf was "on its way from South Africa". She never saw this alleged special power of attorney, and it was not produced during the trial. Her testimony unequivocally states that had it not been for this misrepresentation, she would not have had the intention to sign the agreement as presented to her.

The central dispute in this matter revolve around:

1. Whether the late Ian Mpofu intended to sell the property in issue?
2. If so did he execute an oral agreement of sale via cell-phone chats?
3. Whether 1st Defendant she possessed any authority to sign on Ian Mpofu's behalf.
4. The existence and legal effect of the alleged misrepresentation concerning the Special Power of Attorney.
5. The credibility and probative value of the WhatsApp communications presented as evidence of a sale agreement.

1. **Whether the late Ian Mpofu intended to sell the disputed property.**

From the evidence on record it is common cause that the late Ian Mpofu was critically ill. That he required urgent medical intervention. Such intervention was very costly. He could not afford such bills. It is further accepted by the 1st defendant that he advertised his property No. 8 Abbot Avenue, Paddonhurst Bulawayo for sale for a sum of USD65000.00. It is not disputed

that the plaintiff went on to view the said property which was then occupied by a tenant one Sifiso Lubimbi. He did not like the property as it was a semi-detached type of house. It is not disputed that he communicated his dissatisfaction to the deceased. It is further not disputed that he linked the deceased with an estate agent who specialises in selling properties. The estate agent was equally not keen on selling the property due to its nature of being semi-detached. It is not disputed that the deceased insisted that the plaintiff purchases the property as a way of rescuing him out of his desperate circumstances.

From this back and forth it is clear that the deceased was very desperate to access cash. This had an effect on the purchase price. He could not hang onto his initial price of USD65 000.00. He therefore settled for the sum of USD50 000.00 as offered by the plaintiff. As soon as that happened there existed a meeting of the minds between the plaintiff and the deceased. That part cannot be disputed. For that reason, a meeting of the minds between the deceased and plaintiff occurred.

2. If so did he execute an oral agreement of sale via cell-phone chats?

It is not disputed that soon after this meeting of the minds the plaintiff unlocked payments initially of ZAR186 000 and ZAR 263199.60. There was an agreement to reduce the balance in instalments.

It is further not disputed that the deceased started to receive payment immediately after the first instalment. Still he required more funds. That is why he called for the acceleration of payments of the balance before the lapse of agreed time lines.

3. Whether 1st defendant she possessed any authority to sign on Ian Mpofu's behalf.

From the totality of 1st defendant's evidence it seems she is dissatisfied with the purchase price only. Had the plaintiff and the deceased agreed on the sum of USD65 000 she would not be in court. The operation of the mind which is crucial here is that of the deceased. If he intended to sell as the principal the contract of sale is perfecta. The 1st defendant confirms that she attended at the plaintiff's lawyers as an agent of the deceased. She states that she thought the transaction was to formalise a loan agreement. In other words, if the contract she was presented with was a loan agreement, she was happy to sign it as an agent of the deceased. Once she accepts her role as an agent, it matters not what in her mind she believed to have been

signing. It was not for her to negotiate the terms of the agreement. That had already been done by her principal. The principal ratified her actions by calling for accelerated payments on the agreement he had already confirmed in writing. In the present matter what makes matters worse is that the 1st defendant accepts that the plaintiff's lawyers informed her that the document they presented was an agreement of sale. She saw it and confirmed it to be exactly that. She then signed willingly. Her authority was already implied by the conduct of the deceased her principal.

4. **The existence and legal effect of the alleged misrepresentation concerning the Special Power of Attorney.**

From the above discussions it is clear that if the legal practitioners for the plaintiff alluded to a special power of attorney and later did not produce it, such conduct does not nullify the contract. Such authority would have been a mere formality. The 1st defendant had already identified herself as an agent of the deceased and went ahead to execute a deed of sale in such capacity. As one would not have known the exact communication between the deceased and the 1st defendant, her authority can not be said to be express but it clearly is implied.

5. **The credibility and probative value of the WhatsApp communications presented as evidence of a sale agreement.**

It is crucial to emphasise that the 1st defendant does not dispute that the deceased was of ill health. That he required urgent medical attention. That he could not afford the cost. That he intended to sell his house. For that reason, the cell-phone communications tendered by the plaintiff are in line with the undisputed facts. It would therefore be academic to ventilate the originality and authenticity of the cell phone records as they are in tandem with the undisputed facts.

The Law juxtaposed with the Facts

A valid contract requires a meeting of the minds, or *consensus ad idem*. In the case of *Ashanti Goldfields Zimbabwe Limited* v *Jafati Mdala* SC 60-17 at page 8, the court held as follows:

> "It is trite and a matter of elementary law that the essential elements of a valid contract of sale comprise:
> 1. Agreement (Consensus ad idem) as to: -
> 2. The thing sold, the (merx) and
> 3. The price of the thing sold, the (pretium)".
>
> In other words, a contract of sale comprises three essential elements, that is to say:
> 1. An agreement between the parties to buy and sell.
> 2. An agreement on the thing or commodity sold known as the merx.
> 3. An agreement on the price known as a pretium"

Any contract, unless statutorily required otherwise, may be entered into verbally, and writing is not always essential for its validity.

The plaintiff argues that an oral agreement for sale existed on May 19, 2020, which was subsequently reduced to writing. The payments made are presented as evidence consistent with an existing agreement. However, the 1st defendant's position fundamentally challenges the *consensus ad idem* regarding a *sale*. Her assertion is that there was no agreement for sale, oral or written, but rather a loan. From all the agreed facts there is no evidence supporting the existence of a loan agreement. The 1st defendant does not say she was informed of a loan agreement nor of its terms. One then wonders where did she derive such belief as all the agreed facts point out that the property in dispute was up for sale. There is no evidence on record that it was advertised as lien over loan. Such proposition is therefore not supported by the proven facts. I am of the view that a contract of sale was executed. There was a meeting of the minds between the deceased and the plaintiff, the price was agreed at USD50 000.00 and the merx was House number 8 Abbot Avenue, Paddonhurst, Bulawayo.

Law of Agency and Authority

A fundamental principle of contract law dictates that an agent purporting to act on behalf of a principal must possess the requisite authority to do so. This authority can be either actual (express or implied) or ostensible (apparent). In the case of *Hely Hutchinson CA* v *Brayhead Ltd and Anor* [1968] 1 QB 549 (CA) at 583 A-G, the court stated as follows in distinguishing between actual and ostensible authority:

> "Actual authority and ostensible authority are the opposite sides of the same coin. If an agent wishes to perform a juristic act on behalf of the principal, the agent requires authority to do so, for the act to bind its principal. If the principal had conferred the necessary authority either expressly, the agent is taken to have actual authority. But if

> the principal were to deny that she had conferred authority, the third party who concluded the juristic act with the agent may plead estoppel in replication. In this context, estoppel is not a form of authority but a rule to the effect that if the principal had conducted herself in a manner that misled the third party into believing that the agent has authority, the principal is precluded from denying that the agent had authority."

In casu, the 1st defendant testified that she had no instructions whatsoever from the late Ian Mpofu to sign any agreement of sale. This was not controverted by the plaintiff who properly states that he had no means of knowing the private conversations between the deceased and his mother. This may suggest the absence of actual authority however the conduct that matters most here is that of the principal. He clearly wanted to sell and he did sell.

Ostensible or apparent authority arises when the principal's words or conduct lead a reasonable third party to believe that the agent is authorized, even if no actual authority was conferred. This doctrine operates on the principle of estoppel, preventing the principal from denying authority if their conduct misled the third party. In this case the principal is no longer present to speak for himself but his conduct was clear at all material times. The court in the *Hely Hutchinson CA* case *supra* went on to state the importance of ostensible authority and made the following remarks at paragraph 65:

> "The concept of apparent authority as it appears from the statement by Lord Denning, was introduced into law for purposes of achieving justice in circumstances where a principal had created an impression that its agent has authority to act on its behalf. If this appears to be the position to others and an agreement that accords with that appearance is concluded with the agent, then justice demands that the principal must be held liable in terms of the agreement. It cannot be gainsaid that on present facts, there is a yearning for justice and equity."

The plaintiff's argument for the 1st defendant acted as an agent, therefore, would hinge on whether Ian Mpofu himself, through his conduct, created an impression of wanting to sell. The essential elements for establishing ostensible authority or estoppel against Ian Mpofu's estate are met.

Is the 1st defendant bound by the caveat *subscriptor* rule?

The *caveat subscriptor* rule generally dictates that a party is bound by their signature on a contract, irrespective of whether they have read or understood its contents. *R. H.*

Christie in his book *Business Law in Zimbabwe*, 1998, Juta & Co at p 67, had this to say regarding the rule: -

> "The business world has come to rely on the principle that a signature on a written contract binds the signatory to the terms of the contract and if this principle were not upheld any business enterprises would become hazardous in the extreme. The general rule, sometimes known as the *caveat subscriptor* rule is therefore that a party to a contract is bound by his signature, whether or not he has read and understood the contract….and this will be so even if he has signed in blank…or it is obvious to the other party that he did not read the document."

This principle has been upheld in a plethora of Zimbabwean case authorities including the case of *Muchabaiwa* v *Grab Enterprises (Pvt) Ltd* 1996 (2) ZLR 691 (SC).The plaintiff relies heavily on this principle to assert the validity of the signed agreement.

However, this rule is not absolute and is subject to exceptions. These exceptions include misrepresentation, fraud, illegality, duress, undue influence, or mistake. A party induced to enter into a contract by a material misrepresentation of an existing fact is entitled to rescind that contract. Christie in his book, Law of Contract in South Africa, 4th Edition, [*Chapter 7*] para 313 states:

> "The general effect of a misrepresentation and fraud on a contract can be shortly stated. A party who has been induced to enter into a contract by misrepresentation of an existing fact is entitled to rescind the contract provided that the misrepresentation was material, was intended to induce him to enter into the contradict and did so induce him."

The 1st defendant's evidence is that she was misled by the plaintiff and his lawyers into believing that a Special Power of Attorney existed, granting her authority to act on Ian Mpofu's behalf. This fails to constitute a material misrepresentation, directly falling within the exceptions to the *caveat subscriptor* rule because the 1st defendant claims that she was happy to sign if it was a loan agreement. It was explained to her that she was signing an agreement of sale and she saw it before she signed. She accepts that her son was critically ill and that his house was up for sale. She seems to be unhappy with the agreed price post facto after the unfortunate demise of the deceased.

Disposition

In light of the findings above, it is hereby ordered that:

1. The 1st defendant and the 2nd defendant should pass transfer of Stand No. 9939 Bulawayo Township Lands also Known as House No. 8 Abbot Avenue, Paddonhurst, Bulawayo to the plaintiff within 10 (ten) days of this order failing which the Deputy Sheriff is directed to sign all necessary papers to effect the transfer.
2. The plaintiff to pay the sum of ZAR 449 199.60, being the balance of the purchase price to the 2nd defendant as soon as transfer passes to the plaintiff.
3. Interest *a temporae morae*.
4. An order for holdover damages at the rate of US$400.00 per month with effect from the 23rd of June 2021 when 1st defendant tendered the balance of the purchase price up to the date of the transfer of the property.
5. Costs of suit.

Cheda and Cheda Associates, plaintiff's legal practitioners
Sansole and Senda Legal Practitioners, 1st defendant's legal practitioners